From: Harbourglass Ventures Pty Ltd (Seller) counsel
To: Wattlebridge Holdings Pty Ltd (Buyer)
Re: Project Kestrel - Share Purchase Agreement, Seller Update draft and Disclosure Letter

Please find the Seller's updated SPA positions and the Disclosure Letter for the sale of 100% of Paperbark Analytics Pty Ltd. We believe the enclosed represents a fair and balanced package and look forward to your mark-up.

SELLER UPDATE - KEY NEGOTIATED POSITIONS (Project Kestrel)

Clause 12.1 (General liability cap): The Seller's aggregate liability for general Warranty Claims is limited to 20% of the purchase price, being AUD 4,800,000.

Clause 12.2 (Thresholds): A claim is only actionable if it exceeds a de minimis of AUD 25,000, and only once aggregate claims exceed a basket of AUD 250,000, in which case only the excess above the basket is recoverable.

Clause 12.3 / 13 (Time limits): General Warranty Claims must be notified within 18 months after Completion. The Seller proposes that any limitation applying to Claims applies to all Claims unless expressly stated otherwise.

Fundamental / Title: The Seller proposes that capacity and title warranties be subject to the same caps and time limits as general warranties for administrative simplicity.

Clause 9.3 / 12.8 / 20.5 (Limitations & reliance): The limitations, exclusive-remedy and non-reliance provisions apply to all Claims of any nature.

Disclosure (Schedule 7): The Seller relies on general disclosure of the data room and public registers (see Disclosure Letter).

Clause 8.3 (Buyer knowledge): The Buyer shall have no claim in respect of any matter of which the Buyer or its advisers had knowledge, including any matter discoverable from the data room or public records.

Clause 3 / 6.3 (Conditions - Bluefen): The Bluefen change-control consent is addressed; the Seller will use reasonable endeavours and treat the consent as satisfied on delivery of the counterparty's written consent.

Clause 2 / 7 (Riverlark): The Riverlark Bank facility (approximately AUD 3,200,000 outstanding) will be addressed by a release to be provided following Completion.

Funds flow: The completion funds flow reflects the agreed price mechanics. (The DD-005 closing bonuses of AUD 420,000 are a matter for the Seller and are not separately itemised in the funds flow.)

Clause 11.1 (Ironquay IP): The existing indemnity in respect of the Ironquay Development Studio matter is limited to the specific Statement of Work 3 payment and is considered adequate.

Clause 4.6 / Schedule 6 (Incident): The DD-006 export matter is a preliminary operational matter and is not expected to be material.

Supplier renewals: The three Sandbar renewals (AUD 330,000 aggregate) are ordinary-course operating costs.

Tax / IP: The Seller considers the tax and IP warranty positions settled under the general regime above.

Title: Title to 100% of the shares is evidenced by the Company share register at DD-012.

Project Kestrel - Seller Disclosure Letter (SPA-003). All entities, people, transactions and records are fictional.

1. General Disclosures
[1.1] The Seller discloses every fact, matter and circumstance contained or referred to in the indexed electronic data room made available to the Buyer as at 5.00pm 22 September 2026, including DD-002 to DD-012.
[1.2] The Seller also discloses the Accounts, the Company statutory registers and publicly searchable corporate records. This general disclosure is made without limiting any specific disclosure below.
[1.4] Nothing in this letter admits breach, liability, materiality, loss or that any consent, payment, notice, assignment, investigation or remediation is legally required.

2. Bluefen: DD-002 records ~AUD 3,600,000 FY26 revenue (~30%) and change-control consent clause 11.2 with conditions in 11.3. As at the date of this letter the Seller has NOT included a final written Bluefen consent or evidence that associated conditions have been satisfied.

3. Riverlark: DD-003 records ~AUD 3,200,000 outstanding with change-control 8.1 and discharge 9.2. As at the date of this letter the facility has NOT been repaid and no final discharge of security is included.

4. Ironquay: DD-004 clause 7.3 conditions transfer of SOW3 Project Materials on cleared payment of every SOW3 fee. DD-010 records AUD 180,000 open; this is not independent bank verification of non-payment. No receipt of payment or confirmatory assignment is in the data room.

5. Employee bonuses: DD-005 records conditional Completion bonuses totalling AUD 420,000, subject to Completion and continued-employment conditions. Those amounts do NOT appear in the draft Completion funds flow. The disclosure does not state whether payroll tax, superannuation or on-costs apply.

6. Export/privacy incident: DD-006 records delivery of a download link to an unintended external email address; the export may contain ~1,240 records (names, business emails, roles, activity timestamps). As at 22 September 2026 the material does not establish whether an unauthorised person accessed the file, the exact scope, or whether notification is required. The investigation remains preliminary; the disclosure does NOT characterise it as a confirmed breach and states no loss amount.

7. Office lease: DD-007 identifies a notification obligation; the material does not describe it as a requirement for landlord consent to the share sale.

8. Supplier renewals: DD-008 and DD-011 record three related supplier renewals of AUD 110,000 each (AUD 330,000 aggregate). Read together for timing/scope. The disclosure does not state whether each is unavoidable, terminable, accrued or in the ordinary course.

9. Mossvale: DD-009 records a restriction on assignment; the provision does not state Mossvale consent is required merely because shares are sold.

10. Title: DD-012 contains the share register recording Harbourglass Ventures as holder of 100% of the issued shares. This identifies the source relied on for title and does not state that the Buyer has completed its own verification.

11. Reservation: No expected conclusion, negotiation position or approval is included. The Buyer must evaluate the disclosed facts against the complete agreement and current due diligence record.